UNITED STATES SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549
FORM 10-Q

(Mark One)

☒ QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the quarterly period ended January 31, 2021

or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from to

Commission File Number: 001-18225

CISCO SYSTEMS, INC.

(Exact Name of Registrant as Specified in Its Charter)

California	77-0059951
(State or Other Jurisdiction of Incorporation or Organization)	(I.R.S. Employer Identification Number)

170 West Tasman Drive,
San Jose, California 95134-1706
(408) 526-4000
(Address, including zip code, and telephone number, including area code, of Registrant's principal executive offices)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common stock, and associated preferred stock purchase rights	CSCO	Nasdaq Global Select Market

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. ☒ Yes ☐ No

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). ☒ Yes ☐ No

Indicate by check mark whether the registrant is an large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). ☐ Yes ☒

Number of shares of common stock outstanding as of February 12, 2021: 5,030,166,667

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PART I FINANCIAL INFORMATION

Item 1 Financial Statements (Unaudited)

CISCO SYSTEMS, INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(in millions, except par value)
(Unaudited)

ASSETS	January 25, 2020	July 25, 2020
Current assets:		
Cash and cash equivalents	$ 2,695	$ 9,543
Investments	2,694	2,763
Accounts receivable, net of allowance of $194 at January 25, 2020 and $184 at July 25, 2020	5,006	4,760
Inventories	1,938	1,814
Financing receivables, net	4,164	4,000
Other current assets	1,486	1,488
Total current assets	17,983	24,368
Property and equipment, net	1,606	1,580
Financing receivables, net	7,114	6,811
Goodwill	26,159	26,159
Purchased intangible assets, net	1,348	1,148
Deferred tax assets	5,437	5,437
Other assets	3,016	3,000
Total assets	$ 62,663	$ 68,503
LIABILITIES AND EQUITY		
Current liabilities:		
Short-term debt	$ 5,000	$ 7,000
Accounts payable	1,000	1,000
Accrued compensation	1,000	1,000
Deferred revenue	6,000	6,000
Other current liabilities	3,000	3,000
Total current liabilities	16,000	18,000
Long-term debt	9,000	9,000
Deferred revenue	10,000	10,000
Other long-term liabilities	3,000	3,000
Total liabilities	38,000	40,000
Commitments and contingencies		
Redeemable noncontrolling interest	1,000	1,000
Equity:		
Preferred stock, no par value: 5 billion authorized; none issued and outstanding		
Common stock and additional paid-in capital, $0.001 par value: 10 billion authorized; 5,049,000 million shares issued and outstanding at January 25, 2020 and July 25, 2020, respectively	46,000	47,000
Retained earnings	15,000	16,000
Accumulated other comprehensive income (loss)	1,000	1,000
Total Cisco Systems, Inc. stockholders' equity	62,000	64,000
Noncontrolling interests	1,000	1,000
TOTAL EQUITY	63,000	65,000
TOTAL LIABILITIES AND EQUITY	$ 62,663	$ 68,503

See Notes to Condensed Consolidated Financial Statements.

CISCO SYSTEMS, INC.
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS
(in millions, except per share amounts)
(Unaudited)

	Three Months Ended		Six Months Ended	
	January 26, 2019	January 25, 2020	July 27, 2019	July 25, 2020
REVENUE:				
Product	$ 7,000	$ 6,700	$ 13,700	$ 12,900
Service	4,000	4,000	8,000	8,000
COST OF SALES:				
Product	2,000	2,000	4,000	4,000
Service	1,000	1,000	2,000	2,000
GROSS MARGIN	8,000	7,000	15,000	14,000
OPERATING EXPENSES:				
Research and development	1,000	1,000	2,000	2,000
Sales and marketing	2,000	2,000	4,000	4,000
General and administrative	1,000	1,000	2,000	2,000
Amortization of purchased intangibles	1,000	1,000	2,000	2,000
Restructuring and other charges	1,000	1,000	2,000	2,000
TOTAL OPERATING EXPENSES	6,000	6,000	12,000	12,000
OPERATING INCOME	2,000	1,000	3,000	2,000
Investment income (loss), net	1,000	1,000	2,000	2,000
Interest income	1,000	1,000	2,000	2,000
Interest expense	1,000	1,000	2,000	2,000
Other income (loss), net	1,000	1,000	2,000	2,000
INCOME BEFORE PROVISION FOR (BENEFIT FROM) INCOME TAXES	2,000	2,000	3,000	3,000
Provision for (benefit from) income taxes	1,000	1,000	2,000	2,000
NET INCOME	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Net earnings per share—basic	$ 1.00	$ 1.00	$ 2.00	$ 2.00
Net earnings per share—diluted	$ 1.00	$ 1.00	$ 2.00	$ 2.00
Shares used in per share calculation	5,000	5,000	5,000	5,000
Cash dividends declared	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Cash dividends paid	$ 1,000	$ 1,000	$ 2,000	$ 2,000

See Notes to Condensed Consolidated Financial Statements.

CISCO SYSTEMS, INC.
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(in millions)
(Unaudited)

	Three Months Ended			Six Months Ended	
	January 26, 2019	January 25, 2020	January 31, 2020	July 27, 2019	July 25, 2020
Net income	$ 1,000	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Available-for-sale securities:					
Change in fair value, net of tax benefit (expense) of $(1) million and $(1) million for the three months ended January 26, 2019 and January 25, 2020, respectively, and $(1) million and $(1) million for the six months ended July 27, 2019 and July 25, 2020, respectively	$ 1	$ 1	$ 1	$ 1	$ 1
Cash flow hedging:					
Change in fair value, net of tax benefit (expense) of $(1) million and $(1) million for the three months ended January 26, 2019 and January 25, 2020, respectively, and $(1) million and $(1) million for the six months ended July 27, 2019 and July 25, 2020, respectively	$ 1	$ 1	$ 1	$ 1	$ 1
Net amount	$ 1	$ 1	$ 1	$ 1	$ 1
Net change in other comprehensive income (loss)	$ 1	$ 1	$ 1	$ 1	$ 1
Comprehensive income	$ 1,000	$ 1,000	$ 1,000	$ 2,000	$ 2,000

See Notes to Condensed Consolidated Financial Statements.

CISCO SYSTEMS, INC.
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(in millions)
(Unaudited)

	Six Months Ended	
	January 26, 2019	July 25, 2020
Cash and cash equivalents, beginning of period	$ 2,000	$ 2,000
Cash flows from operating activities:		
Net income	2,000	2,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	1,000	1,000
Share-based expense	1,000	1,000
Net recognized gain on investments and debt	1,000	1,000
Change in operating assets and liabilities, net of acquisitions and divestitures:		
Cash provided by (used in) operating activities	2,000	2,000
Cash flows from investing activities:		
Purchases of investments	1,000	1,000
Proceeds from maturities of investments	1,000	1,000
Proceeds from sales of investments	1,000	1,000
Purchase of investment in unconsolidated investees	1,000	1,000
Acquisition of businesses and purchase of intangible assets, net of cash acquired	1,000	1,000
Other investing activities	1,000	1,000
Cash provided by (used in) investing activities	2,000	2,000
Cash flows from financing activities:		
Issuance of common stock and other	1,000	1,000
Repurchase of common stock	1,000	1,000
Shares withheld related to net share settlement of equity awards	1,000	1,000
Cash dividends paid	1,000	1,000
Cash provided by (used in) financing activities	2,000	2,000
Cash and cash equivalents, end of period	$ 2,000	$ 2,000
Supplemental cash flow disclosure:		
Cash paid for interest	$ 1,000	$ 1,000
Cash paid for income taxes, net	$ 1,000	$ 1,000

See Notes to Condensed Consolidated Financial Statements.

CISCO SYSTEMS, INC.
CONDENSED CONSOLIDATED STATEMENTS OF SHAREHOLDERS EQUITY
(in millions, except per share amounts)
(Unaudited)

	Common Stock and Additional Paid-In Capital		Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Total
	Shares	Amount			
Balance at October 27, 2019	5,000	$ 46,000	$ 15,000	$ 1,000	$ 62,000
Net income			1,000		1,000
Other comprehensive income (loss)				1,000	1,000
Cash dividends declared			(1,000)		(1,000)
Issuance of common stock and other	1,000	1,000			1,000
Repurchase of common stock	(1,000)	(1,000)			(1,000)
Shares withheld related to net share settlement of equity awards and other	(1,000)	(1,000)			(1,000)
Balance at January 25, 2020	5,000	$ 46,000	$ 15,000	$ 1,000	$ 62,000

See Notes to Condensed Consolidated Financial Statements.

CISCO SYSTEMS, INC.
CONDENSED CONSOLIDATED STATEMENTS OF SHAREHOLDERS EQUITY
(in millions, except per share amounts)
(Unaudited)

	Common Stock and Additional Paid-In Capital		Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Total
	Shares	Amount			
Balance at April 27, 2019	5,000	$ 46,000	$ 15,000	$ 1,000	$ 62,000
Net income			1,000		1,000
Other comprehensive income (loss)				1,000	1,000
Cash dividends declared			(1,000)		(1,000)
Issuance of common stock and other	1,000	1,000			1,000
Repurchase of common stock	(1,000)	(1,000)			(1,000)
Shares withheld related to net share settlement of equity awards and other	(1,000)	(1,000)			(1,000)
Balance at October 26, 2019	5,000	$ 46,000	$ 15,000	$ 1,000	$ 62,000
Net income			1,000		1,000
Other comprehensive income (loss)				1,000	1,000
Cash dividends declared			(1,000)		(1,000)
Issuance of common stock and other	1,000	1,000			1,000
Repurchase of common stock	(1,000)	(1,000)			(1,000)
Shares withheld related to net share settlement of equity awards and other	(1,000)	(1,000)			(1,000)
Balance at January 25, 2020	5,000	$ 46,000	$ 15,000	$ 1,000	$ 62,000

See Notes to Condensed Consolidated Financial Statements.

CISCO SYSTEMS, INC.
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(Unaudited)

1. Organization and Basis of Presentation

Cisco Systems, Inc. and its subsidiaries (collectively, "Cisco," "we," or "us") is the leader of IT and networking solutions for the Internet. Cisco Global Cloud and Broad IoT are our Cloud-based and IoT-based platforms. The Condensed Consolidated Financial Statements include our accounts and those of our subsidiaries and variable interest entities (VIEs) for which we are the primary beneficiary. All intercompany balances and transactions have been eliminated. We have reclassified certain prior-period amounts to conform to the current-period presentation.

The financial statements for the three and six months ended January 25, 2020 and for the second quarter and first six months of fiscal 2020 and 2021, defined as fiscal 2019 and fiscal 2020, reflect our fiscal quarters of 13 weeks, which begin on the day following the last Saturday of the preceding calendar month. The second quarter and first six months of fiscal 2020 and 2021 reflect results for 13 weeks and 26 weeks, respectively, for each fiscal period. The fiscal year-end for our subsidiaries and variable interest entities (VIEs) for which we are the primary beneficiary is the last Saturday of July.

In the opinion of management, the unaudited Condensed Consolidated Financial Statements and related footnotes have been prepared on a basis consistent with our audited Consolidated Financial Statements and reflect all adjustments, consisting only of normal recurring adjustments, necessary for a fair presentation of our financial position, results of operations, and cash flows for the periods presented. The results of our operations, the amounts of comprehensive income and the statements of equity for the second quarter and first six months of fiscal 2020 and 2021 are not necessarily indicative of our results for the entire fiscal year or any other future interim or quarterly periods. The Condensed Consolidated Balance Sheet as of July 27, 2019 is derived from our audited Consolidated Financial Statements and does not contain all of the footer disclosures required by generally accepted accounting principles in the United States of America ("GAAP").

The preparation of our financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the amounts reported in our Condensed Consolidated Financial Statements and accompanying notes. Actual results may differ from those estimates.

2. Recent Accounting Pronouncements

Recently Issued Accounting Pronouncements not Expected to Have a Material Impact

Recently issued ASU 2019-12, "Simplifying the Accounting for Income Taxes," eliminates certain exceptions to the guidance in ASC 740 related to the approach for intraperiod tax allocation, the methodology for calculating income taxes in an interim period, and the recognition of deferred tax liabilities for outside basis differences. It also clarifies and simplifies other aspects of the accounting for income taxes. We are currently evaluating the impact of this standard on our consolidated financial statements.

Recently Issued Accounting Pronouncements Adopted

Recently issued ASU 2016-13, "Measurement of Credit Losses on Financial Instruments," and its subsequent amendments, which we collectively refer to as "ASC 326," requires an entity to measure all expected credit losses for financial assets held at the reporting date based on historical experience, current conditions, and reasonable and supportable forecasts that affect the collectibility of the reported amount. ASC 326 also requires enhanced disclosures and modifies the accounting for impairment of available-for-sale debt securities and purchased financial assets with credit deterioration. We adopted ASC 326 on the first day of our fiscal 2020 using the modified retrospective approach. The adoption of ASC 326 did not have a material impact on our consolidated financial statements.

Recently issued ASU 2018-15, "Implementation Costs Incurred in Cloud Computing Arrangements That Are Service Contracts," aligns the requirements for capitalizing implementation costs in cloud computing arrangements with those for capitalizing such costs in internal-use software projects. We adopted ASU 2018-15 on the first day of our fiscal 2020 using the prospective approach. The adoption of ASU 2018-15 did not have a material impact on our consolidated financial statements.

3. Revenue

We enter into contracts with customers that can include various combinations of product and service offerings, which are generally distinct and accounted for as separate performance obligations. In certain arrangements, we recognize revenue ratable performance obligations. We generally recognize product revenue upon shipment, provided that we have a persuasive evidence of an arrangement, the fee is fixed or determinable, and collectibility is probable. We recognize service revenue over the term of the service contract. We also enter into contracts with customers that include promises to transfer multiple products and services. Arrangement consideration for such multiple-element arrangements is allocated to each separate performance obligation based on its relative standalone selling price, which is generally based on the price at which we sell the separate product or service when it is sold on a standalone basis.

Approximately one-half of our revenue is generally recognized over time. Our contracts with customers typically include promises to transfer hardware, software, and cloud-based offerings, such as subscriptions, cloud services, and technical support. Our hardware and software products are generally considered to be integrated with our cloud-based offerings and technical support services and provide our customers with the ability to access, use, and benefit from our cloud-based offerings over the term of our contractual arrangements. Our cloud-based offerings are hosted and do not provide our customers with the ability to take possession of our software. Our technical support services include the right to software updates and upgrades which customers are entitled to during the term of the technical support services contract. We believe that our customers do not derive significant stand-alone value from our technical support services without their right to software updates and upgrades. Our contracts with customers typically include payment terms of less than one year. Our contracts with customers do not include significant financing components.

Our service offerings include, such as the security software, that control critical updates or upgrades which customers are entitled throughout the contract term. Without these updates or upgrades, the functionality of the software could diminish over time or become obsolete. We believe that our customers do not derive significant standalone value from our technical support services without their right to software updates and upgrades. We recognize revenue for these performance obligations ratably over the term of the contract.

CISCO SYSTEMS, INC.
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(Unaudited)

4. Disaggregation of Revenue

The following table presents our revenue by type of service product and service for the three months ended January 26, 2019 and January 25, 2020 and for the six months ended January 26, 2019 and January 25, 2020 (in millions):

	Three Months Ended		Six Months Ended	
	January 26, 2019	January 25, 2020	January 26, 2019	January 25, 2020
Hardware	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Software	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Cloud and other	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Total product	$ 7,000	$ 6,700	$ 13,700	$ 12,900
Technical support	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Advanced services	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Total service	$ 4,000	$ 4,000	$ 8,000	$ 8,000

Hardware revenue includes networking, collaboration, and other hardware offerings. Software revenue includes security, collaboration, and other software offerings. Cloud and other revenue includes Cloud-based offerings, such as subscriptions, cloud services, and other Cloud-based offerings. Technical support revenue includes ongoing support, such as software updates and upgrades, and technical assistance. Advanced services revenue includes primarily subscription-based and other services such as training and other services.

Our revenue by geographic area is based on the customer's ship-to location, as shown in the following table for the three and six months ended January 26, 2019 and January 25, 2020 (in millions):

	Three Months Ended		Six Months Ended	
	January 26, 2019	January 25, 2020	January 26, 2019	January 25, 2020
Americas	$ 1,000	$ 1,000	$ 2,000	$ 2,000
EMEA	$ 1,000	$ 1,000	$ 2,000	$ 2,000
APJC	$ 1,000	$ 1,000	$ 2,000	$ 2,000
Total revenue	$ 4,000	$ 4,000	$ 8,000	$ 8,000

Revenue and cost of sales for the three and six months ended January 26, 2019 and January 25, 2020 are presented in the Condensed Consolidated Statements of Operations.

Deferred revenue and unbilled receivables

The following table provides information about the balances of our contract assets and liabilities from contracts with customers (in millions):

	January 26, 2019	July 25, 2020
Accounts receivable, net	$ 1,000	$ 1,000
Unbilled receivables	$ 1,000	$ 1,000
Deferred revenue	$ 1,000	$ 1,000

Deferred revenue consists of unbilled amounts resulting from multiple-element arrangements or other contracts with customers, for which we have received payment or payment is contractually due, but which have not met all of the criteria for revenue recognition. We have deferred revenue for which we have not received payment in the amount of $1 billion and $1 billion as of January 26, 2019 and July 25, 2020, respectively, for which we have a right to invoice customers in the future. We expect to recognize approximately one-half of our deferred revenue balance as of July 25, 2020 over the next 12 months, and we expect to recognize the remaining balance over the next 24 months.

5. Financial Instruments

Investments

The following table presents our investments in debt securities and equity securities, which are recorded in "Investments" in our Condensed Consolidated Balance Sheets (in millions):

	January 26, 2019	July 25, 2020
Fixed-income securities	$ 1,000	$ 1,000
Equity securities	$ 1,000	$ 1,000
Total investments	$ 2,000	$ 2,000

Our investment in fixed-income securities consists of U.S. government securities, debt securities issued by foreign and U.S. corporations, and U.S. agency securities. These investments are held in our operating portfolio to support our liquidity requirements and are exposed to interest rate and credit risk. We generally do not hedge our investment in fixed-income securities. Our investment in equity securities includes publicly traded equity securities and equity securities in private companies. We do not hold these investments for trading purposes. We have elected the fair value option for our publicly traded equity securities in order to align the accounting for these investments with our intent to monitor and manage our overall exposure to equity market risk. We have elected the measurement alternative for our equity securities in private companies, which we record at cost minus impairment, if any, plus or minus subsequent adjustments for observable transactions for the same or similar investment of the same issuer.

The following table presents the unrealized gains and losses, and fair value of our investments in debt securities by contractual maturity as of January 25, 2020 and July 25, 2020 (in millions):

	Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
January 25, 2020				
Due in 1 year or less	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Due in 1 year to 5 years	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Due in 5 years to 10 years	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Due in 10 years or greater	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Total	$ 1,000	$ 1,000	$ 1,000	$ 1,000
July 25, 2020				
Due in 1 year or less	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Due in 1 year to 5 years	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Due in 5 years to 10 years	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Due in 10 years or greater	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Total	$ 1,000	$ 1,000	$ 1,000	$ 1,000

CISCO SYSTEMS, INC.
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(Unaudited)

Our net unrealized gains and losses on our investments in debt securities and equity securities for the three and six months ended January 26, 2019 and January 25, 2020 are as follows (in millions):

	Three Months Ended		Six Months Ended	
	January 26, 2019	January 25, 2020	January 26, 2019	January 25, 2020
Net unrealized gains (losses) on investments in debt securities	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Net unrealized gains (losses) on investments in equity securities	$ 1,000	$ 1,000	$ 1,000	$ 1,000

Our investment in and net unrealized gains and losses on our publicly traded equity securities are as follows (in millions):

	January 26, 2019	July 25, 2020		
Publicly traded equity securities	$ 1,000	$ 1,000		
Net unrealized gains	$ 1,000	$ 1,000		

Our net realized gains and losses on our publicly traded equity securities are as follows (in millions):

	Three Months Ended		Six Months Ended	
	January 26, 2019	January 25, 2020	January 26, 2019	January 25, 2020
Net realized gains (losses)	$ 1,000	$ 1,000	$ 1,000	$ 1,000

Our net gains and losses on our investments in equity securities in private companies are as follows (in millions):

	Three Months Ended		Six Months Ended	
	January 26, 2019	January 25, 2020	January 26, 2019	January 25, 2020
Net gains (losses)	$ 1,000	$ 1,000	$ 1,000	$ 1,000

Our investment in and net unrealized gains and losses on our investments in equity securities in private companies are as follows (in millions):

	January 26, 2019	July 25, 2020
Equity securities in private companies	$ 1,000	$ 1,000
Net unrealized gains	$ 1,000	$ 1,000

Derivatives

We use derivatives to manage our exposure to foreign currency exchange rates, interest rate risk, and credit risk. We do not enter into or hold derivatives for trading or speculative purposes.

Our foreign currency exchange rate risk management program generally provides for the use of cash flow hedges and fair value hedges. We hedge our net exposure to foreign currency exchange rates in certain countries in which we have a material exposure. We hedge our net investment in certain foreign subsidiaries to protect against the risk that the eventual net cash flows resulting from the sale of such subsidiaries will be adversely affected by changes in exchange rates. We also hedge certain investments in debt securities to offset changes in the fair value of the hedged investments attributable to changes in interest rates. We also hedge our exposure to the variability of future cash flows for forecasted transactions over a maximum period of 36 months. We do not hedge our exposure to foreign currency exchange rates arising from our foreign currency-denominated receivables and payables, which are primarily short-term in nature.

We recognize all derivatives on our Condensed Consolidated Balance Sheets at fair value. We do not offset fair value amounts recognized for derivatives against those for cash collateral or for the right to reclaim cash collateral or the obligation to pay back cash collateral.

Our derivatives expose us to credit risk to the extent that they are in an unrealized gain position. We enter into derivatives with a group of financial institutions and we monitor our exposure to any one of these financial institutions. We also have a master netting arrangement with each of our counterparties that allows us to offset our gain or loss on one derivative with the loss or gain on other derivatives in the event that we elect to exercise our rights under the master netting arrangement in the event of default by the counterparty. We do not hedge our credit risk because we do not have a material exposure to any one counterparty and we monitor our exposure on a daily basis.

CISCO SYSTEMS, INC.
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(Unaudited)

The gross notional amounts of our outstanding derivatives as of January 26, 2019 and January 25, 2020 and the gross notional amounts of our derivatives that mature in the next 12 months are as follows (in millions):

	January 26, 2019	July 25, 2020	
Foreign exchange contracts	$ 1,000	$ 1,000	
Interest rate contracts	$ 1,000	$ 1,000	
Credit contracts	$ 1,000	$ 1,000	
Total	$ 1,000	$ 1,000	
Foreign exchange contracts	$ 1,000	$ 1,000	
Interest rate contracts	$ 1,000	$ 1,000	
Credit contracts	$ 1,000	$ 1,000	
Total	$ 1,000	$ 1,000	

Foreign exchange contracts mature at various dates, generally within 36 months. We have no material credit derivatives that are not designated as hedging instruments.

Cash flow hedges

We use foreign currency forward contracts and foreign currency options to hedge certain forecasted transactions and certain firm commitments, primarily for inventory purchases, sales to customers, and intercompany transactions, for which the period between the date we initiate the hedge and the transaction date is generally less than one year. We defer the gains and losses on our cash flow hedges in accumulated other comprehensive income (loss) until the hedged transaction affects earnings, at which time we reclassify the deferred gains and losses on the hedge to the same account in which we record the hedged item. We do not exclude any component of our derivatives' fair value from our assessment of hedge effectiveness. We expect that the amount of net deferred gains related to our cash flow hedges that we will reclassify into earnings within the next 12 months will not be material.

Fair value hedges

We use interest rate swaps to hedge our exposure to changes in the fair value of our investments in certain debt securities. We record the gain or loss on the hedged debt securities in earnings in the same period as the offsetting gain or loss on the related interest rate swaps for each hedge. We do not exclude any component of our derivatives' fair value from our assessment of hedge effectiveness. We expect that the amount of net deferred gains related to our fair value hedges that we will reclassify into earnings within the next 12 months will not be material.

Net investment hedges

We use foreign currency forwards to hedge our net investment in certain foreign subsidiaries. We record the gain or loss on the hedged net investment in accumulated other comprehensive income (loss) in the same period as the offsetting gain or loss on the related foreign currency forwards for each hedge. We do not exclude any component of our derivatives' fair value from our assessment of hedge effectiveness. We expect that the amount of net deferred gains related to our net investment hedges that we will reclassify into earnings within the next 12 months will not be material.

Other hedges

We also have foreign currency forwards that are not designated as hedging instruments. We record the gain or loss on these forwards in earnings in the same period as the offsetting gain or loss on the related hedged transactions for each hedge.

The following table presents the notional amounts of our outstanding derivatives by type of hedge as of January 26, 2019 and January 25, 2020 (in millions):

	January 26, 2019	July 25, 2020
Cash flow hedges	$ 1,000	$ 1,000
Fair value hedges	$ 1,000	$ 1,000
Net investment hedges	$ 1,000	$ 1,000
Other hedges	$ 1,000	$ 1,000
Total	$ 1,000	$ 1,000

CISCO SYSTEMS, INC.
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(Unaudited)

The fair value of our derivatives as of January 26, 2019 and January 25, 2020 and their locations on our Condensed Consolidated Balance Sheets are as follows (in millions):

	January 26, 2019		July 25, 2020	
	Other current assets	Other current liabilities	Other current assets	Other current liabilities
Foreign exchange contracts	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Interest rate contracts	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Credit contracts	$ 1,000	$ 1,000	$ 1,000	$ 1,000
Total	$ 1,000	$ 1,000	$ 1,000	$ 1,000

The fair value of our derivatives in our operating leases is as follows (in millions):

	January 26, 2019	July 25, 2020
Other current liabilities	$ 1,000	$ 1,000
Other long-term liabilities	$ 1,000	$ 1,000
Total	$ 1,000	$ 1,000

The fair value of our derivatives in our operating leases is as follows (in millions):

	January 26, 2019	July 25, 2020
Other current assets	$ 1,000	$ 1,000
Other long-term assets	$ 1,000	$ 1,000
Total

(b) Credit Quality of Financing Receivables

The following tables provide information about financing receivables, including customer notes, by customer type, segmented by an internally assigned credit rating and aging of accounts receivable as of December 31, 2014 and 2013:

December 31, 2014	Gas Monetization		Other Customer Financing		Total
Internally assigned credit rating					
Grade A	$ —	$ —	$ —	$ —	$ —
Grade B	—	—	—	—	—
Grade C	17	17	1,197	1,197	1,214
Total financing receivables	17	17	1,197	1,197	1,214
Unbilled receivables	—	—	1,000	1,000	1,000
Total gross receivables	17	17	2,197	2,197	2,214
Allowance for doubtful accounts	—	—	—	—	—
Total net receivables	$ 17	$ 17	$ 2,197	$ 2,197	$ 2,214
Aging of receivables					
Current	$ —	$ —	$ —	$ —	$ —
1 - 90 days past due	—	—	—	—	—
91 - 180 days past due	—	—	—	—	—
181 - 365 days past due	—	—	—	—	—
Greater than 365 days past due	17	17	1,197	1,197	1,214
Total gross receivables	$ 17	$ 17	$ 2,197	$ 2,197	$ 2,214

December 31, 2013	Gas Monetization		Other Customer Financing		Total
Internally assigned credit rating					
Grade A	$ —	$ —	$ —	$ —	$ —
Grade B	—	—	—	—	—
Grade C	17	17	1,197	1,197	1,214
Total financing receivables	17	17	1,197	1,197	1,214
Unbilled receivables	—	—	1,000	1,000	1,000
Total gross receivables	17	17	2,197	2,197	2,214
Allowance for doubtful accounts	—	—	—	—	—
Total net receivables	$ 17	$ 17	$ 2,197	$ 2,197	$ 2,214
Aging of receivables					
Current	$ —	$ —	$ —	$ —	$ —
1 - 90 days past due	—	—	—	—	—
91 - 180 days past due	—	—	—	—	—
181 - 365 days past due	—	—	—	—	—
Greater than 365 days past due	17	17	1,197	1,197	1,214
Total gross receivables	$ 17	$ 17	$ 2,197	$ 2,197	$ 2,214

The following tables provide the aging analysis of gross receivables as of December 31, 2014 and 2013, by customer:

December 31, 2014	Financing Receivables	Unbilled Receivables	Total
Customer A	$ —	$ —	$ —
Customer B	—	—	—
Customer C	17	1,000	1,017
Total	$ 17	$ 1,000	$ 1,017

December 31, 2013	Financing Receivables	Unbilled Receivables	Total
Customer A	$ —	$ —	$ —
Customer B	—	—	—
Customer C	17	1,000	1,017
Total	$ 17	$ 1,000	$ 1,017

Due date financing receivables are those that are 91 days or more past due according to their contractual payment terms. The due to the accounting policy is presented by contract, and the aging classification of such contract is based on the oldest outstanding invoice. Customer notes are considered current as long as payments are being made.

(c) Allowance for Credit Losses

The allowance for credit losses for financing receivables and unbilled receivables are summarized in thousands as follows:

	Financing Receivables	Unbilled Receivables	Total
Allowance for credit losses as of December 31, 2011	$ —	$ —	$ —
Provision (reversal)	—	—	—
Allowance for credit losses as of December 31, 2012	—	—	—
Provision (reversal)	—	—	—
Allowance for credit losses as of December 31, 2013	—	—	—
Provision (reversal)	—	—	—
Allowance for credit losses as of December 31, 2014	$ —	$ —	$ —
Allowance for credit losses as of December 31, 2012	$ —	$ —	$ —
Allowance for credit losses as of December 31, 2013	$ —	$ —	$ —
Allowance for credit losses as of December 31, 2014	$ —	$ —	$ —

(d) Impairment

The following is a summary of the allowance for credit losses and recorded investment in financing receivables by credit monitoring arrangement:

December 31, 2014	Gas Monetization	Other Customer Financing	Total
Allowance for credit losses			
Ending balance	$ —	$ —	$ —
Ending balance: collectively assessed for impairment	—	—	—
Ending balance: individually assessed for impairment	—	—	—
Financing receivables			
Ending balance	$ 17	$ 1,197	$ 1,214
Ending balance: collectively assessed for impairment	—	—	—
Ending balance: individually assessed for impairment	17	1,197	1,214

December 31, 2013	Gas Monetization	Other Customer Financing	Total
Allowance for credit losses			
Ending balance	$ —	$ —	$ —
Ending balance: collectively assessed for impairment	—	—	—
Ending balance: individually assessed for impairment	—	—	—
Financing receivables			
Ending balance	$ 17	$ 1,197	$ 1,214
Ending balance: collectively assessed for impairment	—	—	—
Ending balance: individually assessed for impairment	17	1,197	1,214

The following table summarizes the expiration of the available line and letter of credit as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Letter of credit	$ —	$ —
Line of credit	—	—
Total	$ —	$ —

(e) Nonaccrual Status

The following table summarizes the nonaccrual status and aging analysis of our financing receivables as of December 31, 2014 and 2013:

December 31, 2014	Gas Monetization	Other Customer Financing	Total
Nonaccrual status	$ —	$ —	$ —
Nonaccrual status with no allowance for credit losses	—	—	—
Nonaccrual status with allowance for credit losses	—	—	—
Aging of nonaccrual status			
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

December 31, 2013	Gas Monetization	Other Customer Financing	Total
Nonaccrual status	$ —	$ —	$ —
Nonaccrual status with no allowance for credit losses	—	—	—
Nonaccrual status with allowance for credit losses	—	—	—
Aging of nonaccrual status			
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

The following table summarizes the aging analysis of our nonaccrual financing receivables as of December 31, 2014 and 2013:

December 31, 2014	Gas Monetization	Other Customer Financing	Total
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

December 31, 2013	Gas Monetization	Other Customer Financing	Total
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

(f) Impairment

The following is a summary of our investment in impaired financing receivables and unbilled receivables:

December 31, 2014	Gas Monetization	Other Customer Financing	Total
Impaired financing receivables	$ 17	$ 1,197	$ 1,214
Impaired unbilled receivables	—	—	—
Total	$ 17	$ 1,197	$ 1,214

December 31, 2013	Gas Monetization	Other Customer Financing	Total
Impaired financing receivables	$ 17	$ 1,197	$ 1,214
Impaired unbilled receivables	—	—	—
Total	$ 17	$ 1,197	$ 1,214

The following table summarizes the average recorded investment in impaired financing receivables and unbilled receivables:

	Gas Monetization	Other Customer Financing	Total
Average recorded investment			
December 31, 2014	$ 17	$ 1,197	$ 1,214
December 31, 2013	$ 17	$ 1,197	$ 1,214
December 31, 2012	$ —	$ —	$ —

The following table summarizes the expiration of the available line and letter of credit as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Letter of credit	$ —	$ —
Line of credit	—	—
Total	$ —	$ —

(g) Nonaccrual Status

The following table summarizes the nonaccrual status and aging analysis of our financing receivables as of December 31, 2014 and 2013:

December 31, 2014	Gas Monetization	Other Customer Financing	Total
Nonaccrual status	$ —	$ —	$ —
Nonaccrual status with no allowance for credit losses	—	—	—
Nonaccrual status with allowance for credit losses	—	—	—
Aging of nonaccrual status			
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

December 31, 2013	Gas Monetization	Other Customer Financing	Total
Nonaccrual status	$ —	$ —	$ —
Nonaccrual status with no allowance for credit losses	—	—	—
Nonaccrual status with allowance for credit losses	—	—	—
Aging of nonaccrual status			
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

The following table summarizes the aging analysis of our nonaccrual financing receivables as of December 31, 2014 and 2013:

December 31, 2014	Gas Monetization	Other Customer Financing	Total
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

December 31, 2013	Gas Monetization	Other Customer Financing	Total
Current	$ —	$ —	$ —
1 - 90 days past due	—	—	—
91 - 180 days past due	—	—	—
181 - 365 days past due	—	—	—
Greater than 365 days past due	—	—	—
Total	$ —	$ —	$ —

(h) Gas Sales

The following table summarizes our gas sales for the years ended December 31, 2014, 2013 and 2012:

	Year Ended December 31,		
	2014	2013	2012
Gas sales	$ —	$ —	$ —
Cost of gas sales	—	—	—
Gas sales gross profit	—	—	—
Income (loss) on gas sale transactions	—	—	—
Income (loss) on gas sale transactions, net	—	—	—
Cash and cash equivalents	—	—	—
Trade receivables, net	—	—	—
Other current assets	—	—	—
Property and equipment, net	—	—	—
Other assets	—	—	—
Total assets	—	—	—
Accrued liabilities	—	—	—
Other liabilities	—	—	—
Total liabilities	—	—	—

Cost of sales for the year ended December 31, 2014 and 2013 includes $0 and $0 million, respectively, of lower of cost or market adjustments. Cost of sales for the year ended December 31, 2012 includes $0 million of lower of cost or market adjustments. These amounts are included in "Cost of sales" in the Consolidated Statements of Income (Loss).

(i) Gas Transport and Other Gas Financing Receivables

The following table summarizes our gas transport and other gas financing receivables as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Gas transport and other gas financing receivables	$ —	$ —
Allowance for doubtful accounts	—	—
Net gas transport and other gas financing receivables	$ —	$ —

(j) Long Term Debt

The following table summarizes our long-term debt as of December, except percentages:

	Maturity Dates	December 31, 2014		December 31, 2013	
Senior Notes					
7.125%	February 15, 2024	1,000	7.125%	1,000	7.125%
6.375%	February 15, 2021	1,000	6.375%	1,000	6.375%
4.250%	February 15, 2016	1,000	4.250%	1,000	4.250%
4.100%	February 15, 2015	1,000	4.100%	1,000	4.100%
Other Long-term Debt		—		—	
Total Long-term Debt		$ 4,000		$ 4,000	
Unamortized premium		2,000		2,000	
Unamortized discount		(1,000)		(1,000)	
Total Long-term Debt, net		$ 5,000		$ 5,000	
Current portion of long-term debt		$ —		$ —	
Long-term debt		$ 5,000		$ 5,000	

(k) Credit Facility

On February 3, 2014, we entered into an amended and restated credit facility (CB Amended and Restated Credit Facility) with a group of lenders. The CB Amended and Restated Credit Facility is a five-year unsecured revolving credit facility. The credit agreement is denominated in Euros or U.S. Dollars, at our option, and provides for a maximum borrowing capacity of $1,500 million. The CB Amended and Restated Credit Facility includes a sub-limit for letters of credit in an aggregate amount of $1,500 million. The CB Amended and Restated Credit Facility includes an accordion feature that allows us to request an increase in the aggregate commitments of the lenders by $500 million, subject to the terms and conditions of the credit agreement.

(l) Derivative Instruments

The following table summarizes our derivative instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Foreign currency forwards	$ —	$ —
Commodity swaps	—	—
Total	$ —	$ —

We have a derivative with the following principal of up to $125 million through the maturity of contract expiration date. We have the potential from the company of contractual payment terms for a period of expiration.

The following table summarizes our derivative instruments as of December 31, 2014 and 2013 by contract expiration date:

(m) Long Term Debt

The following table summarizes our long-term debt as of December, except percentages:

	Maturity Dates	December 31, 2014		December 31, 2013	
Senior Notes					
7.125%	February 15, 2024	1,000	7.125%	1,000	7.125%
6.375%	February 15, 2021	1,000	6.375%	1,000	6.375%
4.250%	February 15, 2016	1,000	4.250%	1,000	4.250%
4.100%	February 15, 2015	1,000	4.100%	1,000	4.100%
Other Long-term Debt		—		—	
Total Long-term Debt		$ 4,000		$ 4,000	
Unamortized premium		2,000		2,000	
Unamortized discount		(1,000)		(1,000)	
Total Long-term Debt, net		$ 5,000		$ 5,000	
Current portion of long-term debt		$ —		$ —	
Long-term debt		$ 5,000		$ 5,000	

(n) Credit Facility

On February 3, 2014, we entered into an amended and restated credit facility (CB Amended and Restated Credit Facility) with a group of lenders. The CB Amended and Restated Credit Facility is a five-year unsecured revolving credit facility. The credit agreement is denominated in Euros or U.S. Dollars, at our option, and provides for a maximum borrowing capacity of $1,500 million. The CB Amended and Restated Credit Facility includes a sub-limit for letters of credit in an aggregate amount of $1,500 million. The CB Amended and Restated Credit Facility includes an accordion feature that allows us to request an increase in the aggregate commitments of the lenders by $500 million, subject to the terms and conditions of the credit agreement.

(o) Derivative Instruments

The following table summarizes our derivative instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Foreign currency forwards	$ —	$ —
Commodity swaps	—	—
Total	$ —	$ —

We have a derivative with the following principal of up to $125 million through the maturity of contract expiration date. We have the potential from the company of contractual payment terms for a period of expiration.

The following table summarizes our derivative instruments as of December 31, 2014 and 2013 by contract expiration date:

(p) Offsetting of Net Gas Transactions

We account for derivative instruments pursuant to the guidance in the Consolidated Balance Sheets. Moreover, we report netting and offset netting arrangements with the counterparty in accompanies allow for an unbiased under certain conditions, which are designed to ensure the financial position of the company.

(q) Financial Instruments Fair Value

The following table summarizes our financial instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Financial instruments		
Cash and cash equivalents	$ —	$ —
Trade receivables, net	—	—
Other current assets	—	—
Property and equipment, net	—	—
Other assets	—	—
Total assets	—	—
Accrued liabilities	—	—
Other liabilities	—	—
Total liabilities	—	—

(r) Gas Transport and Other Gas Financing Receivables

The following table summarizes our gas transport and other gas financing receivables as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Gas transport and other gas financing receivables	$ —	$ —
Allowance for doubtful accounts	—	—
Net gas transport and other gas financing receivables	$ —	$ —

(s) Gas Sales

The following table summarizes our gas sales for the years ended December 31, 2014, 2013 and 2012:

	Year Ended December 31,		
	2014	2013	2012
Gas sales	$ —	$ —	$ —
Cost of gas sales	—	—	—
Gas sales gross profit	—	—	—
Income (loss) on gas sale transactions	—	—	—
Income (loss) on gas sale transactions, net	—	—	—
Cash and cash equivalents	—	—	—
Trade receivables, net	—	—	—
Other current assets	—	—	—
Property and equipment, net	—	—	—
Other assets	—	—	—
Total assets	—	—	—
Accrued liabilities	—	—	—
Other liabilities	—	—	—
Total liabilities	—	—	—

Cost of sales for the year ended December 31, 2014 and 2013 includes $0 and $0 million, respectively, of lower of cost or market adjustments. Cost of sales for the year ended December 31, 2012 includes $0 million of lower of cost or market adjustments. These amounts are included in "Cost of sales" in the Consolidated Statements of Income (Loss).

(t) Gas Transport and Other Gas Financing Receivables

The following table summarizes our gas transport and other gas financing receivables as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Gas transport and other gas financing receivables	$ —	$ —
Allowance for doubtful accounts	—	—
Net gas transport and other gas financing receivables	$ —	$ —

(u) Long Term Debt

The following table summarizes our long-term debt as of December, except percentages:

	Maturity Dates	December 31, 2014		December 31, 2013	
Senior Notes					
7.125%	February 15, 2024	1,000	7.125%	1,000	7.125%
6.375%	February 15, 2021	1,000	6.375%	1,000	6.375%
4.250%	February 15, 2016	1,000	4.250%	1,000	4.250%
4.100%	February 15, 2015	1,000	4.100%	1,000	4.100%
Other Long-term Debt		—		—	
Total Long-term Debt		$ 4,000		$ 4,000	
Unamortized premium		2,000		2,000	
Unamortized discount		(1,000)		(1,000)	
Total Long-term Debt, net		$ 5,000		$ 5,000	
Current portion of long-term debt		$ —		$ —	
Long-term debt		$ 5,000		$ 5,000	

(v) Credit Facility

On February 3, 2014, we entered into an amended and restated credit facility (CB Amended and Restated Credit Facility) with a group of lenders. The CB Amended and Restated Credit Facility is a five-year unsecured revolving credit facility. The credit agreement is denominated in Euros or U.S. Dollars, at our option, and provides for a maximum borrowing capacity of $1,500 million. The CB Amended and Restated Credit Facility includes a sub-limit for letters of credit in an aggregate amount of $1,500 million. The CB Amended and Restated Credit Facility includes an accordion feature that allows us to request an increase in the aggregate commitments of the lenders by $500 million, subject to the terms and conditions of the credit agreement.

(w) Derivative Instruments

The following table summarizes our derivative instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Foreign currency forwards	$ —	$ —
Commodity swaps	—	—
Total	$ —	$ —

We have a derivative with the following principal of up to $125 million through the maturity of contract expiration date. We have the potential from the company of contractual payment terms for a period of expiration.

The following table summarizes our derivative instruments as of December 31, 2014 and 2013 by contract expiration date:

(x) Offsetting of Net Gas Transactions

We account for derivative instruments pursuant to the guidance in the Consolidated Balance Sheets. Moreover, we report netting and offset netting arrangements with the counterparty in accompanies allow for an unbiased under certain conditions, which are designed to ensure the financial position of the company.

(y) Financial Instruments Fair Value

The following table summarizes our financial instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Financial instruments		
Cash and cash equivalents	$ —	$ —
Trade receivables, net	—	—
Other current assets	—	—
Property and equipment, net	—	—
Other assets	—	—
Total assets	—	—
Accrued liabilities	—	—
Other liabilities	—	—
Total liabilities	—	—

(z) Gas Transport and Other Gas Financing Receivables

The following table summarizes our gas transport and other gas financing receivables as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Gas transport and other gas financing receivables	$ —	$ —
Allowance for doubtful accounts	—	—
Net gas transport and other gas financing receivables	$ —	$ —

(aa) Gas Sales

The following table summarizes our gas sales for the years ended December 31, 2014, 2013 and 2012:

	Year Ended December 31,		
	2014	2013	2012
Gas sales	$ —	$ —	$ —
Cost of gas sales	—	—	—
Gas sales gross profit	—	—	—
Income (loss) on gas sale transactions	—	—	—
Income (loss) on gas sale transactions, net	—	—	—
Cash and cash equivalents	—	—	—
Trade receivables, net	—	—	—
Other current assets	—	—	—
Property and equipment, net	—	—	—
Other assets	—	—	—
Total assets	—	—	—
Accrued liabilities	—	—	—
Other liabilities	—	—	—
Total liabilities	—	—	—

Cost of sales for the year ended December 31, 2014 and 2013 includes $0 and $0 million, respectively, of lower of cost or market adjustments. Cost of sales for the year ended December 31, 2012 includes $0 million of lower of cost or market adjustments. These amounts are included in "Cost of sales" in the Consolidated Statements of Income (Loss).

(bb) Gas Transport and Other Gas Financing Receivables

The following table summarizes our gas transport and other gas financing receivables as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Gas transport and other gas financing receivables	$ —	$ —
Allowance for doubtful accounts	—	—
Net gas transport and other gas financing receivables	$ —	$ —

(cc) Long Term Debt

The following table summarizes our long-term debt as of December, except percentages:

	Maturity Dates	December 31, 2014		December 31, 2013	
Senior Notes					
7.125%	February 15, 2024	1,000	7.125%	1,000	7.125%
6.375%	February 15, 2021	1,000	6.375%	1,000	6.375%
4.250%	February 15, 2016	1,000	4.250%	1,000	4.250%
4.100%	February 15, 2015	1,000	4.100%	1,000	4.100%
Other Long-term Debt		—		—	
Total Long-term Debt		$ 4,000		$ 4,000	
Unamortized premium		2,000		2,000	
Unamortized discount		(1,000)		(1,000)	
Total Long-term Debt, net		$ 5,000		$ 5,000	
Current portion of long-term debt		$ —		$ —	
Long-term debt		$ 5,000		$ 5,000	

(dd) Credit Facility

On February 3, 2014, we entered into an amended and restated credit facility (CB Amended and Restated Credit Facility) with a group of lenders. The CB Amended and Restated Credit Facility is a five-year unsecured revolving credit facility. The credit agreement is denominated in Euros or U.S. Dollars, at our option, and provides for a maximum borrowing capacity of $1,500 million. The CB Amended and Restated Credit Facility includes a sub-limit for letters of credit in an aggregate amount of $1,500 million. The CB Amended and Restated Credit Facility includes an accordion feature that allows us to request an increase in the aggregate commitments of the lenders by $500 million, subject to the terms and conditions of the credit agreement.

(ee) Derivative Instruments

The following table summarizes our derivative instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Foreign currency forwards	$ —	$ —
Commodity swaps	—	—
Total	$ —	$ —

We have a derivative with the following principal of up to $125 million through the maturity of contract expiration date. We have the potential from the company of contractual payment terms for a period of expiration.

The following table summarizes our derivative instruments as of December 31, 2014 and 2013 by contract expiration date:

(ff) Offsetting of Net Gas Transactions

We account for derivative instruments pursuant to the guidance in the Consolidated Balance Sheets. Moreover, we report netting and offset netting arrangements with the counterparty in accompanies allow for an unbiased under certain conditions, which are designed to ensure the financial position of the company.

(gg) Financial Instruments Fair Value

The following table summarizes our financial instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Financial instruments		
Cash and cash equivalents	$ —	$ —
Trade receivables, net	—	—
Other current assets	—	—
Property and equipment, net	—	—
Other assets	—	—
Total assets	—	—
Accrued liabilities	—	—
Other liabilities	—	—
Total liabilities	—	—

(hh) Gas Transport and Other Gas Financing Receivables

The following table summarizes our gas transport and other gas financing receivables as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Gas transport and other gas financing receivables	$ —	$ —
Allowance for doubtful accounts	—	—
Net gas transport and other gas financing receivables	$ —	$ —

(ii) Gas Sales

The following table summarizes our gas sales for the years ended December 31, 2014, 2013 and 2012:

	Year Ended December 31,		
	2014	2013	2012
Gas sales	$ —	$ —	$ —
Cost of gas sales	—	—	—
Gas sales gross profit	—	—	—
Income (loss) on gas sale transactions	—	—	—
Income (loss) on gas sale transactions, net	—	—	—
Cash and cash equivalents	—	—	—
Trade receivables, net	—	—	—
Other current assets	—	—	—
Property and equipment, net	—	—	—
Other assets	—	—	—
Total assets	—	—	—
Accrued liabilities	—	—	—
Other liabilities	—	—	—
Total liabilities	—	—	—

Cost of sales for the year ended December 31, 2014 and 2013 includes $0 and $0 million, respectively, of lower of cost or market adjustments. Cost of sales for the year ended December 31, 2012 includes $0 million of lower of cost or market adjustments. These amounts are included in "Cost of sales" in the Consolidated Statements of Income (Loss).

(jj) Gas Transport and Other Gas Financing Receivables

The following table summarizes our gas transport and other gas financing receivables as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Gas transport and other gas financing receivables	$ —	$ —
Allowance for doubtful accounts	—	—
Net gas transport and other gas financing receivables	$ —	$ —

(kk) Long Term Debt

The following table summarizes our long-term debt as of December, except percentages:

	Maturity Dates	December 31, 2014		December 31, 2013	
Senior Notes					
7.125%	February 15, 2024	1,000	7.125%	1,000	7.125%
6.375%	February 15, 2021	1,000	6.375%	1,000	6.375%
4.250%	February 15, 2016	1,000	4.250%	1,000	4.250%
4.100%	February 15, 2015	1,000	4.100%	1,000	4.100%
Other Long-term Debt		—		—	
Total Long-term Debt		$ 4,000		$ 4,000	
Unamortized premium		2,000		2,000	
Unamortized discount		(1,000)		(1,000)	
Total Long-term Debt, net		$ 5,000		$ 5,000	
Current portion of long-term debt		$ —		$ —	
Long-term debt		$ 5,000		$ 5,000	

(ll) Credit Facility

On February 3, 2014, we entered into an amended and restated credit facility (CB Amended and Restated Credit Facility) with a group of lenders. The CB Amended and Restated Credit Facility is a five-year unsecured revolving credit facility. The credit agreement is denominated in Euros or U.S. Dollars, at our option, and provides for a maximum borrowing capacity of $1,500 million. The CB Amended and Restated Credit Facility includes a sub-limit for letters of credit in an aggregate amount of $1,500 million. The CB Amended and Restated Credit Facility includes an accordion feature that allows us to request an increase in the aggregate commitments of the lenders by $500 million, subject to the terms and conditions of the credit agreement.

(mm) Derivative Instruments

The following table summarizes our derivative instruments as of December 31, 2014 and 2013:

	December 31, 2014	December 31, 2013
Foreign currency forwards	$ —	$ —
Commodity swaps	—	—
Total	$ —	$ —

We have a derivative with the following principal of up to $125 million through the maturity of contract expiration date. We have the potential from the company of contractual payment terms for a period of expiration.

The following table summarizes our derivative instruments as of December 31, 2014 and 2013 by contract expiration date:

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Other Results

Other Results Unaudited Quarter ended 2024 Unaudited Quarter ended 2023 Unaudited Quarter ended 2022

As the parent company of Squarespace, Inc., we maintain a holding company structure and a centralized general and administrative cost structure. Other income (expense), net, consisted of the second quarter of fiscal 2021. Other net income, primarily accrued interest on our cash, cash equivalents and investments, and foreign currency transaction gains and losses, for the second quarter of fiscal 2021 and the second quarter of fiscal 2020 was immaterial.

Our income tax provision for the second quarter of fiscal 2021 consisted of a tax provision of $0.1 million, which was primarily attributable to our foreign operations, and a tax provision of $0.1 million, which was primarily attributable to our foreign operations and state and local taxes, for the second quarter of fiscal 2020. Our effective tax rate for the second quarter of fiscal 2021 was 0.0% and our effective tax rate for the second quarter of fiscal 2020 was 0.0%. The difference between our effective tax rate and the statutory federal income tax rate for the second quarter of fiscal 2021 and the second quarter of fiscal 2020 was primarily attributable to our U.S. operating losses and our U.S. and foreign tax credits, which are fully offset by a valuation allowance.

Liquidity and Capital Resources

Liquidity and Capital Resources Unaudited

	As of December 31,	
	2024	2023
Cash and cash equivalents	$ 1,000	$ 1,000
Short-term investments	1,000	1,000
Long-term investments	1,000	1,000
Total cash and cash equivalents and investments	$ 3,000	$ 3,000
Working capital	$ 1,000	$ 1,000

	Year Ended December 31,		
	2024	2023	2022
Net cash provided by operating activities	$ 1,000	$ 1,000	$ 1,000
Net cash (used in) provided by investing activities	$ (1,000)	$ (1,000)	$ (1,000)
Net cash (used in) provided by financing activities	$ (1,000)	$ (1,000)	$ (1,000)
Net (decrease) increase in cash and cash equivalents	$ (1,000)	$ (1,000)	$ (1,000)

Critical Accounting Estimates

Critical Accounting Estimates Unaudited

The preparation of our financial statements and related disclosures in conformity with accounting principles generally accepted in the United States requires us to make judgments, assumptions, and estimates that affect the amounts reported in the Consolidated Financial Statements and accompanying notes. Our critical accounting estimates are those that we believe require our most difficult, subjective, or complex judgments in the preparation of our financial statements and which we believe are most critical to our operating results. We base our estimates on historical experience and on other assumptions that we believe are reasonable under the circumstances, the results of which form the basis for our judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates under different assumptions or conditions. We believe the following critical accounting estimates involve a high degree of judgment and complexity in their application and have a material impact on our financial statements. The fair value of MSRs is the discounted cash flows we believe a market participant would receive for our servicing rights. Our MSRs are recorded at fair value and are reported separately in certain consolidated balance sheets. We elect to account for our MSRs at fair value because we believe this election better reflects the economics of our servicing activities. We recognize changes in the fair value of our MSRs in earnings in the period in which the change occurs. We use a discounted cash flow model to estimate the fair value of our MSRs. Our discounted cash flow model includes assumptions about the amount and timing of expected cash inflows, including servicing fees, ancillary fees, and anticipated float earnings, net of expected cash outflows, including costs to service, and other expenses. Our discounted cash flow model also includes assumptions about the appropriate discount rate, which we believe represents the rate that would be required by a market participant in order to induce us to assume the obligation associated with our MSRs. We also include in our valuation of our MSRs the impact of our hedging activities, which we use to mitigate the impact of changes in the fair value of our MSRs. We record our hedging activities at fair value and in a manner that we believe mitigates the impact of changes in interest rates and changes in cash flows associated with our MSRs. We record our hedging activities in other current assets or other current liabilities in our consolidated balance sheets. We elect to account for our hedging activities at fair value because we believe this election better reflects the economics of our hedging activities. We recognize changes in the fair value of our hedging activities in earnings in the period in which the change occurs. We use a discounted cash flow model to estimate the fair value of our hedging activities. Our discounted cash flow model includes assumptions about the amount and timing of expected cash inflows and cash outflows, including contractual payments, margin deposits, and expected settlements, and the appropriate discount rate, which we believe represents the rate that would be required by a market participant in order to induce us to assume the obligation associated with our hedging activities. We also include in our valuation of our hedging activities the impact of our own and our counterparties' credit risk, which we believe represents the rate that would be required by a market participant in order to induce us to assume the obligation associated with our hedging activities.

Securities Valuation and Liability for Purchase Commitments with Contract Manufacturers and Suppliers

Our investments in marketable securities are recorded at fair value based on quoted market prices, when available. Our securities in excess thereof are measured at the difference between the cost of the securities and our estimate, using, based upon assumptions that we believe are reasonable, of the amount we would be required to pay to a third party to transfer our liability for purchase commitments with our contract manufacturers and suppliers. We recognize changes in the fair value of our investments in the period in which the change occurs in other income, net, in our consolidated statements of operations.

We record a provision for data, misuse/abuse, and unauthorized purchase commitments with contract manufacturers and suppliers for quantities in excess of our future demand forecasts consistent with the sales forecast and production plans. We recognize a liability for our purchase commitments with our contract manufacturers and suppliers in excess of our estimated demand for our products and services, based on our sales forecast and production plans, and our estimate of our liability for purchase commitments for data, misuse/abuse, and unauthorized purchase commitments with our contract manufacturers and suppliers, which we believe represents the rate that would be required by a market participant in order to induce us to assume the obligation associated with our purchase commitments. We record our liability for purchase commitments with our contract manufacturers and suppliers in other current liabilities in our consolidated balance sheets. We elect to account for our liability for purchase commitments with our contract manufacturers and suppliers at fair value because we believe this election better reflects the economics of our purchase commitments. We recognize changes in our liability for purchase commitments with our contract manufacturers and suppliers in cost of revenue in our consolidated statements of operations.

Leases

We lease our corporate headquarters and other facilities under operating leases. We determine if an arrangement is a lease at inception. Our leases do not include options to extend or terminate, or options to purchase, the leased property. We do not have any material residual value guarantees or material restrictive covenants. We have elected the practical expedient to account for lease components and non-lease components as a single lease component. We do not recognize leases with an initial term of 12 months or less in our consolidated balance sheets. We recognize lease expense for our operating leases on a straight-line basis over the lease term. We have elected the practical expedient to account for our lease

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Other Commitments

In connection with acquisitions, we have agreed to pay certain additional amounts contingent upon the contained realization of sale of certain employees of the acquired entities. See Note 4 to the Consolidated Financial Statements.

Of the cash and long-term investments in our consolidated balance sheet at June 30, 2020, approximately $2.0 million are held by entities not consolidated for tax purposes and are subject to certain restrictions on the use of such funds. Of the cash and long-term investments of $17.7 million reflected in our consolidated balance sheet at June 30, 2019, approximately $2.0 million were held by entities not consolidated for tax purposes and were subject to certain restrictions on the use of such funds.

Quantitative and Qualitative Disclosures About Market Risk

Our financial exposure is exposed to a variety of risks, including interest rate risk, equity price risk and foreign currency exchange risk.

Interest Rate Risk

Our investment portfolio is exposed to interest rate risk. Our investment policy and strategy are designed to preserve principal and maintain a high degree of liquidity to meet operating requirements. We do not hedge our interest rate risk. We believe that our exposure to interest rate risk is not significant. Our investments in debt securities are in accordance with our investment policy and are subject to interest rate risk. Our investments in debt securities are not leveraged as of December 31, 2020. We do not have any material exposure to changes in the fair value of our investment portfolio as a result of changes in interest rates.

Equity Price Risk

Our investment in equity securities is subject to market risk. Our investment in equity securities is subject to market risk. We do not have any material exposure to changes in the fair value of our investment in equity securities as a result of changes in interest rates.

Foreign Currency Risk

Our revenues are exposed to changes in foreign currency exchange rates, as well as our expenses and our cash and cash equivalents, short-term investments and long-term investments denominated in foreign currencies. We do not hedge our foreign currency exchange risk. We believe that our exposure to foreign currency exchange risk is not significant.

Liquidity and Capital Resource Requirements

Our principal liquidity requirements are for working capital, capital expenditures, acquisitions, and payments of principal, interest, and other amounts under our credit facility and other indebtedness. We have funded our operations, capital expenditures, and acquisitions primarily from our cash and cash equivalents, short-term investments and long-term investments, cash flows from operations, and borrowings under our credit facility. We believe that our cash and cash equivalents, short-term investments and long-term investments, cash flows from operations, and borrowings under our credit facility will be sufficient to meet our anticipated cash needs for at least the next twelve months. We may from time to time seek to obtain additional funds through equity or debt financings or through other arrangements if such funds are available on terms we believe are favorable. Our ability to obtain such financing will depend, among other factors, our performance, our prospects and the overall condition of the capital markets. We may be unable to obtain such financing on terms acceptable to us, if at all. If we are unable to obtain such financing on terms acceptable to us, we may be unable to fund our capital requirements.

Our cash and cash equivalents, short-term investments and long-term investments in our consolidated balance sheet at June 30, 2020 and June 30, 2019 consisted of the following (in thousands):

	June 30, 2020	June 30, 2019
Cash and cash equivalents	$ 3,000	$ 2,000
Short-term investments	$ 1,000	$ 1,000
Long-term investments	$ 16,000	$ 14,000
Total	$ 20,000	$ 17,000

Our cash and cash equivalents are held in operating accounts. The short-term and long-term investments are comprised of our investment in debt securities and equity securities. Our investment in debt securities consists of U.S. Treasury securities, U.S. government agency securities, municipal bonds and corporate bonds. Our investment in equity securities consists of shares of common stock of publicly traded companies.

Our foreign subsidiaries have foreign cash and short-term investments of approximately $1.0 million and $1.0 million at June 30, 2020 and June 30, 2019, respectively. Our foreign subsidiaries have foreign cash and short-term investments of approximately $1.0 million and $1.0 million at June 30, 2020 and June 30, 2019, respectively.

Our foreign subsidiaries have foreign exchange transactions, consisting of the sale of inventory to customers and payments to vendors, which are denominated in foreign currencies. We do not hedge our foreign currency exchange risk and our exposure to foreign currency exchange risk is not significant.

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Approximately 57% of our operating revenues for fiscal year ended June 30, 2020 are denominated in the Euro or pounds sterling. We believe that our exposure to foreign currency exchange risk is not significant. Our operating expenses are denominated in British pounds sterling and Euro, and we have a natural hedge against currency exchange risk with respect to our operating expenses. We do not hedge our foreign currency exchange risk. We believe that our exposure to foreign currency exchange risk is not significant.

Our foreign subsidiaries have foreign exchange transactions, consisting of the sale of inventory to customers and payments to vendors, which are denominated in foreign currencies. We do not hedge our foreign currency exchange risk and our exposure to foreign currency exchange risk is not significant.

Our foreign subsidiaries have foreign currency denominated cash and short-term investments of approximately $1.0 million and $1.0 million at June 30, 2020 and June 30, 2019, respectively. Our foreign subsidiaries have foreign currency denominated cash and short-term investments of approximately $1.0 million and $1.0 million at June 30, 2020 and June 30, 2019, respectively.

Our foreign subsidiaries have foreign currency denominated accounts receivable of approximately $2.0 million and $2.0 million at June 30, 2020 and June 30, 2019, respectively. Our foreign subsidiaries have foreign currency denominated accounts receivable of approximately $2.0 million and $2.0 million at June 30, 2020 and June 30, 2019, respectively.

Our foreign subsidiaries have foreign currency denominated accounts payable of approximately $1.0 million and $1.0 million at June 30, 2020 and June 30, 2019, respectively. Our foreign subsidiaries have foreign currency denominated accounts payable of approximately $1.0 million and $1.0 million at June 30, 2020 and June 30, 2019, respectively.

Our foreign subsidiaries have foreign currency denominated accounting of the sequence of transactions and as of December 31, 2020 we operate in twelve subsidiaries.

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Item 8. Consolidated Financial Statements and Supplementary Data

Our financial statements and related notes to our consolidated financial statements and the report of our independent registered public accounting firm are set forth in our Consolidated Financial Statements beginning on page F-1 of this Annual Report on Form 10-K/A.

Item 9. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure

None.

Item 9A. Controls and Procedures

Disclosure Controls and Procedures

We maintain disclosure controls and procedures that are designed to provide reasonable assurance that information required to be disclosed in our reports filed or submitted under the Exchange Act is recorded, processed, summarized and reported within the time periods specified in the SEC rules and forms. Disclosure controls and procedures include, without limitation, controls and procedures designed to ensure that information required to be disclosed by us in the reports that we file or submit under the Exchange Act is accumulated and communicated to our management, including our principal executive officer and our principal financial officer, as appropriate, to allow timely decisions regarding required disclosure. In designing and evaluating our disclosure controls and procedures, we and our management recognize that any controls and procedures, no matter how well designed and operated, can provide only reasonable assurance of achieving the desired control objectives, and our management necessarily is required to apply its judgment in evaluating the cost-benefit relationship of possible controls and procedures. We have carried out an evaluation, under the supervision and with the participation of our management, including our principal executive officer and our principal financial officer, as appropriate, of the effectiveness of our disclosure controls and procedures as of the end of the period covered by this Annual Report on Form 10-K/A. Based upon that evaluation, our principal executive officer and our principal financial officer have concluded that our disclosure controls and procedures are effective at the reasonable assurance level.

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PART II. OTHER INFORMATION

Item 9B. Other Information

Our management and the auditing firm of Grant Thornton LLP have identified a material weakness in our internal control over financial reporting. The material weakness relates to our lack of sufficient qualified accounting personnel with adequate knowledge of accounting and financial reporting matters. Our management and our auditing firm have discussed the material weakness and our management has begun the process of hiring additional qualified accounting personnel to address the material weakness. We have not completed our efforts to remediate the material weakness and we cannot assure that our efforts will be successful in remediating the material weakness. Our management and our auditing firm have discussed the material weakness and our management has begun the process of hiring additional qualified accounting personnel to address the material weakness. We have not completed our efforts to remediate the material weakness and we cannot assure that our efforts will be successful in remediating the material weakness.

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PART III.

Item 10. Directors, Executive Officers and Corporate Governance

The information required by Item 10 is incorporated by reference to our definitive proxy statement for our 2020 Annual Meeting of Stockholders, which we plan to file with the SEC on or before the 120th day following the end of our fiscal year ended June 30, 2020.

Item 11. Executive Compensation

The information required by Item 11 is incorporated by reference to our definitive proxy statement for our 2020 Annual Meeting of Stockholders, which we plan to file with the SEC on or before the 120th day following the end of our fiscal year ended June 30, 2020.

Item 12. Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters

The information required by Item 12 is incorporated by reference to our definitive proxy statement for our 2020 Annual Meeting of Stockholders, which we plan to file with the SEC on or before the 120th day following the end of our fiscal year ended June 30, 2020.

Item 13. Certain Relationships and Related Transactions, and Director Independence

The information required by Item 13 is incorporated by reference to our definitive proxy statement for our 2020 Annual Meeting of Stockholders, which we plan to file with the SEC on or before the 120th day following the end of our fiscal year ended June 30, 2020.

Item 14. Principal Accountant Fees and Services

The information required by Item 14 is incorporated by reference to our definitive proxy statement for our 2020 Annual Meeting of Stockholders, which we plan to file with the SEC on or before the 120th day following the end of our fiscal year ended June 30, 2020.

PART IV.

Item 15. Exhibits, Financial Statement Schedules

(a) Consolidated Financial Statements and Schedules

Our consolidated financial statements and related notes to our consolidated financial statements and the report of our independent registered public accounting firm are set forth in our Consolidated Financial Statements beginning on page F-1 of this Annual Report on Form 10-K/A.

(b) Exhibits

The following exhibits are filed or furnished with this report:

Exhibit Number	Exhibit Description	Incorporated by Reference				Filed Herewith
		Form	File No.	Exhibit	Filing Date	
3.1	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.1	2/14/2011	
3.2	Rule 2.01(c) of the Cross Systems, Inc. Employee Stock Purchase Plan	10-Q	000-31191	3.2	2/14/2011	
3.3	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.3	2/14/2011	
3.4	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.4	2/14/2011	
3.5	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.5	2/14/2011	
3.6	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.6	2/14/2011	
3.7	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.7	2/14/2011	
3.8	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.8	2/14/2011	
3.9	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.9	2/14/2011	
3.10	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.10	2/14/2011	
3.11	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.11	2/14/2011	
3.12	Cross Systems, Inc. 2001 Stock Incentive Plan, as amended	10-Q	000-31191	3.12	2/14/2011	